

in 2020 to around ₹40,000 crore in 2022. Angshuman Bhattacharya, Partner for Strategy & Transactions at EY Parthenon, expects that number to skyrocket to ₹2.1 lakh crore by 2027. It is, therefore, hardly a surprise to see so many companies interested in this business.

“Dark stores are critical to the development of hyperlocal infrastructure being fielded by e-commerce, D2C and quick commerce companies,” says Bhattacharya. “India, amongst other markets, is seeing rapid growth in quick commerce and foodtech, which has made the dark stores a critical micro hub of delivery.” Adds a spokesperson of Blinkit: “The quick commerce business is dependent on various factors such as the availability of products from the brand, seller ability, and supply chain capacity. Dark stores play an important role in this equation.”

52 | Running a dark store, according to Palicha, is not very expensive: “It’s about 5-8 per cent of the revenue... it just has costs like rent, electricity, and employee expenses. So it’s definitely not more than 10 per cent.” Palicha also says dark stores are strategically placed after having studied a locality. “A Gujarati-dominated area

would have more Gujarati groceries as SKUs. Apart from this, factors like population density and demography also come in. When we open a new dark store, we see the range of customers it will be able to reach, the average expenditure of delivery, and how is the accessibility offline.” For Zepto, *atta*, dal, rice, and packaged foods are the most profitable. At the same time, the company is also expanding into electronics, make-up and skincare products.

“Today we have an assortment of thousands of SKUs spanning 80-90 categories,” says a Swiggy Instamart spokesperson. “We have kept a close watch on what consumers want and have always been the pioneers while experimenting with new categories, such as gourmet and international assortment, and certified organic vegetables.”

A CHALLENGING INDUSTRY

Delivering groceries in less than 10 minutes is not an easy process. “Hyperlocal delivery costs are high, and driving the right density of operations to break even on costs is critical. Also, customer acquisition costs are high, and maintaining repeat

purchases is key to driving lifetime value,” says Bhattacharya of EY.

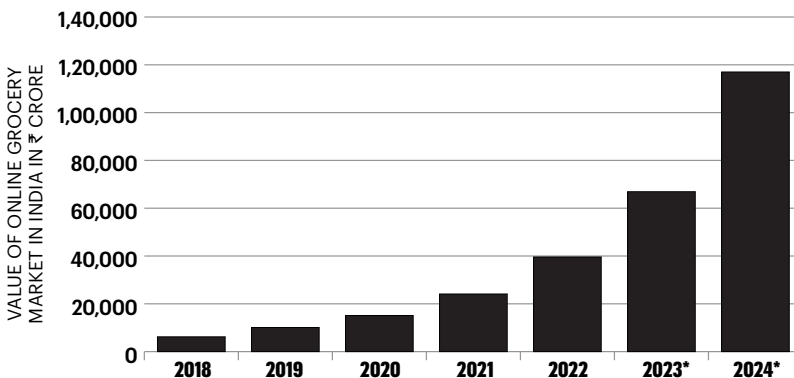
These challenges came home to roost for many players who rushed into the quick commerce space when Covid-19 was in play. The lifting of lockdowns saw a decline in demand, rationalisation of promised delivery timeframes, and even layoffs. Some players like Amazon Fresh and Google-backed Dunzo (where Reliance Retail holds 25 per cent stake) scaled back their operations in the ‘10-minute delivery’ space while others like Swiggy’s Instamart and bbnw by Tata-owned bigbasket revised their delivery timelines. Swiggy is believed to have laid off 380 employees. Blinkit (formerly Grofers)—which was sold to Zomato in 2022 for ₹4,447 crore—is also believed to have laid off around 120 people. As for Dunzo, it is believed to have laid off about 3 per cent of its workforce in January 2022 and pivoted to 60-minute deliveries in mid-2022. However, Zepto, one of the youngest players, managed to survive without any job cuts.

Founded as KiranaKart in 2020 by 19-year-olds Palicha and Kaviya Vohra, Zepto is now a soonicorn with a valuation of \$900 million, according to the company. It last raised funds in May 2022—a Series D round for \$200 million led by Y Combinator’s Continuity fund. In fact, all prominent players (or their parent firms) in the quick grocery delivery space have solid financial backing. Swiggy, valued at \$10.7 billion, owns Instamart, and is backed by Prosus Ventures. Its list of investors includes Baron Capital Group, Sumeru Venture, IIFL AMC Late Stake Tech Fund, Kotak, Axis Growth, Sixteenth Street Capital, Smile Group and Qatar Investment Authority, among others.

Meanwhile, Blinkit’s parent Zomato is banking on the quick delivery subsidiary to take it to profitability and rescue it from the stock markets, where it has seen stormy

SHINING BRIGHT

The online grocery market is set to grow significantly in the coming years



*ESTIMATES; SOURCE STATISTA